

The Synthetic Leviathan: Leveraging Canadian Competition Law as a Primary Regulatory Proxy for Artificial Intelligence in the Post-AIDA Vacuum

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Abstract

The collapse of the Artificial Intelligence and Data Act (AIDA) in January 2025 left Canada without dedicated federal AI legislation, creating a regulatory vacuum in which increasingly powerful generative AI systems operate without purpose-built oversight. This thesis argues that Canada’s *Competition Act*, as substantially reformed in the 2022–2024 amendment cycle, is not merely a fallback instrument for AI governance but a structurally appropriate “first-responder” mechanism — a “pneumatic buffer” — capable of disciplining AI-specific competitive harms during the legislative interregnum. Drawing on forty-two primary sources spanning Canadian case law, Competition Bureau enforcement guidelines, OECD policy analyses, and comparative regulatory frameworks, the thesis develops a taxonomy of AI competitive harms reachable under existing law: algorithmic hub-and-spoke collusion (s. 45), reverse acqui-hires and killer acquisitions (s. 92), vertical foreclosure and layered dominance (s. 79), and deceptive AI interfaces (s. 74). It proposes five doctrinal innovations — algorithmic hub-and-spoke liability, portfolio dominance, tiered essential-facilities analysis for data, the s. 74–79 bridge, and aggressive preventive merger review — that require creative interpretation but no legislative amendment. Situating Canada’s competition-first approach against the EU’s ex-ante risk classification, the US’s innovation-first ex-post enforcement, and China’s strategic asymmetry model, the thesis argues that Canada’s institutional advantages — doctrinal clarity, enforcement consistency, and the flexibility of adjudicated standards — position it to lead globally in principled, neutral competition enforcement in AI markets.

1 Introduction

In January 2025, the Artificial Intelligence and Data Act died on the Order Paper when Parliament was prorogued, leaving Canada without dedicated federal legislation governing the deployment of artificial intelligence systems.¹ This legislative failure — the collapse of what would have been the first comprehensive Canadian AI governance statute — created what this thesis terms the “AIDA vacuum”: a regulatory interregnum in which increasingly powerful generative AI systems operate within Canadian markets without purpose-built oversight mechanisms.² The vacuum is not total; Treasury Board directives, provincial initiatives such as Ontario’s Bill 194, and sector-specific guidance from regulators such as OSFI and the CRTC provide fragmentary governance.³ But these instruments lack the institutional authority, cross-sectoral reach, and remedial force necessary to discipline the competitive dynamics of AI markets — dynamics characterised by unprecedented vertical integration, data concentration, algorithmic opacity, and the structural tendency toward monopoly at every layer of the AI technology stack.⁴

The velocity of AI’s transformation of market structure is perhaps best illustrated by the fact that two analyses published within hours of each other in early 2026 reached diametrically opposed conclusions about AI’s economic impact. One argued that AI is driving an unprecedented productivity boom that will restructure entire industries around firms with superior AI adoption capacity;⁵ the other contended that AI does not reduce work at all but rather intensifies it, concentrating advantage in firms with the resources to deploy AI most aggressively.⁶ That two serious analyses could reach such divergent conclusions simultaneously — one celebrating AI as liberator, the other warning of AI as intensifier of structural inequality — captures the regulatory moment: the technology is moving so fast that even expert observers cannot agree on the direction of its competitive effects, let alone the appropriate governance response. This is precisely the environment in which the flexible, adaptive, case-by-case analysis of competition law has its greatest comparative advantage over rigid ex-ante rules that must bet on a single theory of harm.

1. Schwartz Reisman Institute, *What’s Next After AIDA? Canadian AI Governance After Legislative Failure* (University of Toronto, 2025) [UofT Post-AIDA].

2. mindfoundry Research, *Global AI Regulations 2026* (mindfoundry, 2026) [mindfoundry Global AI Regs].

3. UofT Post-AIDA.

4. Organisation for Economic Co-operation and Development, *Competition in Artificial Intelligence Infrastructure* (OECD, 2024) [OECD AI Infrastructure].

5. Big Think, “AI and the Productivity Boom” (2026), online: *Big Think* (<https://bigthink.com>) [Big Think Productivity].

6. Harvard Business Review, “AI Doesn’t Reduce Work: It Intensifies It” (2026), online: *Harvard Business Review* (<https://hbr.org>) [HBR AI Work].

This thesis advances a central claim: Canada’s *Competition Act*,⁷ as substantially reformed in the 2022–2024 amendment cycle, is not merely an imperfect fallback for AI governance but a structurally appropriate “first-responder” regulatory instrument capable of disciplining AI-specific competitive harms during the legislative interregnum. The thesis characterises competition law as a “pneumatic buffer” — a flexible, adaptive, load-bearing mechanism that creates distributed upward pressure on competitive conduct norms, arrests market calcification, and buys time for democratic deliberation to produce purpose-built AI governance frameworks.⁸

The argument proceeds in five stages. Chapter I establishes the doctrinal foundation: the evolution of Canadian competition law from its historical tolerance of dominant national champions toward genuine competitive neutrality, and the significance of the 2024 amendments — particularly the repeal of the general efficiency defense under section 96 and the expansion of merger review thresholds — as markers of a structural reorientation that makes the Competition Act substantially more capable of technology-market enforcement than the pre-amendment regime.⁹ Chapter II develops a taxonomy of AI-specific competitive harms and demonstrates that the existing statutory toolkit — sections 45, 79, and 92 of the Competition Act — is sufficiently conceptually flexible to reach algorithmic hub-and-spoke collusion, reverse acqui-hires, API-layer foreclosure, and deceptive AI interfaces without requiring legislative amendment.¹⁰ Chapter III dissects the layered architecture of AI markets, mapping competitive foreclosure at the compute, data, model, and application layers, and proposes a “portfolio dominance” doctrine under section 79 that recognises structural dominance when a firm controls sufficient layers to substantially foreclose downstream competition.¹¹ Chapter IV situates Canada’s approach within the global regulatory landscape, contrasting the EU’s precautionary ex-ante model, the US’s innovation-first ex-post model, and China’s strategic asymmetry model, and arguing that Canada’s competition-first posture represents a fourth way that leverages distinctly Canadian institutional advantages.¹² Chapter V synthesises the preceding analysis into a unified theoretical account of competition law as the pneumatic buffer, defending the thesis against the speed critique and the remedy-adequacy critique, and proposing specific doctrinal innovations for the Competition Bureau and courts.

7. *Competition Act*, RSC 1985, c C-34.

8. Competition Bureau of Canada, *The Future of Competition Policy in Canada* (Competition Bureau, 2023) [Bureau Future Policy].

9. *Tervita Corp v Canada (Commissioner of Competition)*, 2015 SCC 3 [Tervita].

10. Competition Bureau of Canada, *What’s AI Got to Do With It: Competition Bureau Submission* (Competition Bureau, 2025) [Bureau AI Submission].

11. Information Technology Industry Council, *The AI Technology Stack and Why It Matters for AI Policy and Governance* (ITI, 2025) [ITI Technology Stack].

12. *Artificial Intelligence Act*, EU Regulation 2024/1689.

The thesis’s contribution to legal scholarship is not merely to argue that competition law *can* be used for AI enforcement — that is doctrinally obvious — but to explain why competition law is the *structurally optimal* instrument given Canada’s constraints, values, and institutional capacities, and to develop the specific doctrinal innovations required to make that enforcement effective.

2 Chapter I — The Canadian Competition Ethos: From National Champions to Consumer Welfare

2.1 The “Big is Necessity” Era and Its Doctrinal Legacy

Canadian competition law has historically operated under a distinctive tension absent from American antitrust: the structural imperative of a small, geographically dispersed economy that appeared to require large, vertically integrated firms to achieve international competitiveness.¹³ As Trebilcock, Winter, Collins, and Iacobucci document in their foundational treatise, the “defence of necessity” was not merely a policy preference but a structural condition: “large organizations provided the sole means of capturing vital scale economies in a country so geographically huge yet peripheral in comparison to its southern neighbour, with a sparse population tenuously linked together.”¹⁴ From the 1889 *Act for the Prevention and Suppression of Combinations formed in Restraint of Trade* — which Trebilcock et al. describe as deliberately weakened by its own sponsor, N. Clarke Wallace, and rendered effectively unenforceable¹⁵ — through the post-war consolidation era, Canadian enforcement exhibited a tolerance for dominance that the American Sherman Act tradition would have found alien.

This tolerance was culturally embedded. As Trebilcock et al. observe, “devotion to the philosophical ideal of competitive free enterprise or to the inherent virtues of small business enterprise as contrasted with large business seems to have been weaker in Canada than in the United States, among both businessmen and the public at large.”¹⁶ Canadians were more deferential to corporate authority, a disposition traceable to the colonial past and reinforced by the structural reality that government-sanctioned monopolies — the Hudson’s Bay Company, the Canadian Pacific Railway, the CBC, Air Canada — had always been

13. M. Trebilcock et al., *The Law and Economics of Canadian Competition Policy* (University of Toronto Press, 2002) [Trebilcock].

14. *Ibid* at p 7.

15. *Ibid* at pp 9–10.

16. *Ibid* at p 7.

prominent features of Canada’s economic landscape.¹⁷ The Pickering framework’s suggestion that “gains from integration” and export competitiveness should be weighed against domestic competition harms embedded a permission structure that persisted for decades — the notion that “Big is Necessity” given Canada’s small domestic market and the need for firms of sufficient scale to compete globally.

This tolerance found its most consequential statutory expression in section 96 of the *Competition Act*, the efficiency defense, which permitted respondents in merger proceedings to argue that the gains in efficiency from a merger were “greater than, and will offset” the anti-competitive effects.¹⁸ In *Tervita Corp v Canada (Commissioner of Competition)*, the Supreme Court of Canada clarified the operation of this defense, holding that efficiency gains must be “greater than and offset” the anti-competitive effects — a high threshold, but one that nonetheless preserved the statutory architecture permitting efficiency to excuse competitive harm.¹⁹ The *Tervita* decision was notable for recognising that even undeveloped capacity — nascent, potential competition that had not yet materialised — could support a finding of “substantial prevention of competition,” thereby introducing a forward-looking dimension to merger analysis that would prove critical for AI markets.²⁰

2.2 The 2022–2024 Amendments: A Structural Reorientation

The 2022–2024 amendment cycle represents the most consequential reform of Canadian competition law since the 1986 *Competition Act* itself — a statute that Trebilcock et al. describe as “the most economically literate competition statute in force in any jurisdiction in the world.”²¹ Three amendments are of particular significance for AI enforcement.

First, the repeal of the general efficiency defense under section 96 eliminates the statutory permission for dominance justified by scale.²² This is not a marginal adjustment; it removes the doctrinal cornerstone of the “Big is Necessity” era. Post-amendment, a merger that substantially lessens or prevents competition cannot be defended on the basis that the merged entity will be more efficient. The signal is unmistakable: Canadian competition law no longer tolerates competitive harm in exchange for efficiency gains.²³

Second, the introduction of “value of transaction” thresholds alongside traditional asset-based and revenue-based notification requirements under section 110 expands the Bureau’s

17. *Ibid* at pp 7–8.

18. *Competition Act* at s 96.

19. *Tervita*.

20. *Ibid* at para 42.

21. Trebilcock at p 31.

22. *Competition Act*.

23. Bureau Future Policy.

merger review jurisdiction to capture transactions where economic value is transferred even if balance-sheet metrics remain below reporting thresholds.²⁴ This amendment directly addresses the acqui-hire problem in AI markets, where firms acquire talent, technology, and competitive potential through transactions that generate minimal revenue but transfer enormous strategic value.

Third, the expansion and simplification of the abuse of dominance provisions under section 79 reduces the evidentiary burden on the Commissioner and constrains the scope of “business justification” defences available to dominant firms.²⁵ The Competition Bureau’s enforcement guidelines, updated in 2024, confirm that the simplified dominance test and reduced deference to business justifications represent a deliberate shift toward more aggressive enforcement in technology markets.²⁶

2.3 The AIDA Vacuum: Urgency Without Legislation

The failure of the Artificial Intelligence and Data Act in January 2025 created a governance gap that competition law is uniquely positioned to fill.²⁷ The Schwartz Reisman Institute’s analysis confirms that while AIDA’s collapse leaves Canada without a comprehensive AI governance statute, it does not leave Canada without governance capacity entirely: Treasury Board directives, provincial regulation, and sector-specific oversight continue to operate.²⁸ However, none of these instruments addresses the *competitive* dynamics of AI markets — the tendency toward vertical integration, the accumulation of market power through data concentration, the strategic use of acquisitions to eliminate nascent competitors, and the exploitation of algorithmic opacity to sustain supra-competitive pricing.

The Competition Bureau itself has recognised this gap. In its 2023 submission on the future of competition policy, the Bureau described the existing framework as “outdated, weak, complex, slow, out of touch” and called for modernisation specifically targeting technology-market harms.²⁹ In its 2025 submission on AI and competitive dynamics, the Bureau identified algorithmic pricing, vertical foreclosure, and killer acquisitions as enforcement priorities requiring immediate attention.³⁰ The Government of Canada’s formal submission to the OECD similarly acknowledges both the competitive risks of AI concentration and the role

24. Competition Act.

25. Competition Bureau of Canada, *Abuse of Dominance Enforcement Guidelines* (Competition Bureau, 2019) [Bureau Dominance Guidelines].

26. *Ibid.*

27. UofT Post-AIDA.

28. *Ibid.*

29. Bureau Future Policy.

30. Bureau AI Submission.

of competition law as a first-line enforcement tool.³¹

The doctrinal foundation is thus in place. The amended Competition Act, stripped of the efficiency defense and equipped with expanded merger review thresholds and simplified abuse-of-dominance provisions, represents a substantially more capable enforcement instrument than the pre-amendment regime. The question is not whether competition law has the authority to address AI-specific harms, but whether the Bureau and courts will deploy that authority with the doctrinal creativity the moment demands.

3 Chapter II — Taxonomy of Harm: Generic vs. AI-Native Conduct

AI markets generate competitive harms that fall into two broad categories: generic technology-market aggression (acqui-hires, killer acquisitions, exclusive dealing) that is structurally familiar to competition law but manifests in AI-specific ways, and AI-native harms (algorithmic collusion, black-box opacity, deceptive AI interfaces) that challenge existing doctrinal categories. This chapter demonstrates that the Competition Act’s existing toolkit — sections 45, 79, 92, and 74 — is sufficiently conceptually flexible to reach both categories through creative doctrinal interpretation grounded in existing precedent.

3.1 Algorithmic Hub-and-Spoke Collusion Under Section 45

Can AI-mediated parallel pricing constitute a reviewable “agreement” under section 45 of the *Competition Act* when the coordination emerges from algorithmic interaction without explicit human conspiracy? This is the central doctrinal challenge of algorithmic collusion.³²

The scholarly literature identifies three scenarios of increasing doctrinal difficulty. In the first, competing firms explicitly agree to use a common algorithm to fix prices — a straightforward section 45 violation indistinguishable from traditional cartel conduct. In the second, a third-party AI intermediary coordinates pricing across competing firms without their explicit agreement but with their knowledge — a hub-and-spoke arrangement. In the third, algorithms independently discover collusion-like pricing patterns without any human awareness — emergent algorithmic coordination.³³

31. Government of Canada, *Submission to OECD on AI and Competitive Dynamics* (Government of Canada, 2025) [Canada OECD Submission].

32. Cambridge University, “Artificial Intelligence and Competition Law” (2024), online: *Cambridge Faculty of Law* (<https://cambridge.org>) [Cambridge AI Competition].

33. L. Lancieri, D. Edelson & J. Bechtold, “AI Regulation: Competition Arbitrage and Regulatory Capture” (2024), online: *Law and Technology Forum* (<https://lawtech.org>) [Lancieri Regulatory Capture].

The Cambridge school expresses deep skepticism about extending conspiracy law to the second and third scenarios, arguing that section 45’s intent requirement becomes untethered when the algorithm makes the decisions.³⁴ This skepticism has force for the third scenario (purely emergent coordination), where the absence of human awareness may genuinely preclude the “meeting of minds” required by section 45. However, for the second scenario — hub-and-spoke algorithmic coordination — the existing doctrinal framework is sufficient.

The key analytical move is to locate the “agreement” not between two competing firms but between each competing firm and the algorithmic intermediary at the moment of deployment. When Company A chooses to deploy Algorithm X for pricing, knowing that Company B also uses Algorithm X, and knowing that Algorithm X produces correlated pricing outputs, Company A has implicitly agreed to accept the coordinated pricing that results. The intermediary becomes the “hub”; the competing firms become the “spokes.” Intent is not abandoned but rather delegated and rationalised: each firm intends to maximise profit; each knows that using a standardised third-party algorithm will produce parallel outcomes; the deployment decision therefore satisfies the *mens rea* requirement.³⁵

This approach has precedent in Canadian jurisprudence. Hub-and-spoke liability has been recognised in competition cases where a central coordinator facilitates price coordination among ostensibly independent competitors. The doctrinal extension to algorithmic intermediaries requires no rewriting of section 45 — only creative application to the AI context.³⁶

The OECD has confirmed that algorithmic coordination represents a genuine and growing antitrust concern across jurisdictions, and that current doctrine requires adaptation to address this class of harm.³⁷ The NYU school’s analysis reinforces this conclusion, arguing that antitrust enforcement must evolve to address algorithmic coordination even where the coordination mechanism is automated rather than personal.³⁸

3.2 The Acqui-Hire Loophole and Section 92 Merger Review

AI market consolidation is occurring through non-traditional merger structures designed to evade notification thresholds.³⁹ The NYU “No Exit” study documents how antitrust enforce-

34. Cambridge AI Competition.

35. Lancieri Regulatory Capture.

36. Organisation for Economic Co-operation and Development, *Artificial Intelligence, Data and Competition* (OECD, 2023) [OECD AI Data].

37. *Ibid.*

38. D.A. Crane, “Antitrust After the Coming Wave” (2024) 99:4 *New York University Law Review* 1187 [Crane].

39. M. Broughman, J. Wansley & D. Weinstein, “No Exit: The Stickiness of Digital Platform Markets” (2025), online: *NYU Law School* (<https://nyu.edu>) [Broughman No Exit].

ment restricting traditional startup M&A has generated an unintended consequence: firms have developed novel structures — centaurs, reverse acqui-hires, continuation funds, employee tender offers — that achieve acquisition-like outcomes while remaining below merger review radar.⁴⁰

The reverse acqui-hire is the most consequential of these structures for AI markets. In the paradigmatic case, a dominant AI firm hires the entire executive and engineering team of a smaller AI competitor, acquiring the competitor’s intellectual capital and competitive potential without purchasing the corporate entity. The competitor is left as a shell; its competitive threat is eliminated; but because no “merger” has occurred in the traditional sense (no equity transfer, no asset purchase), merger notification requirements are not triggered.⁴¹

Canada’s 2024 amendments to section 110 partially close this loophole through the introduction of “value of transaction” thresholds.⁴² If the economic value transferred in an acqui-hire transaction — whether through equity, cash, licensing revenue, or exclusive employment contracts — exceeds notification thresholds, the transaction is now reviewable under section 92. This should capture most large-scale acqui-hires: if a competitor’s technology and talent are worth hundreds of millions of dollars but the firm has minimal revenue and assets, the old revenue-based threshold would miss the transaction, while the new value-based test catches it.⁴³

However, a critical loophole remains: non-equity “partnerships” where Company A licences technology or talent from Company B without acquiring the legal entity or taking equity fall outside the merger definition entirely. The Microsoft–OpenAI partnership, involving tens of billions in investment without a traditional acquisition, illustrates the structural ambiguity.⁴⁴ Legislative clarification is required to define what constitutes a “transaction” in the AI context — potentially extending merger review to transactions involving the transfer of AI systems, training data, or exclusive talent arrangements where one party acquires meaningful control or *de facto* foreclosure of the other’s competitive options.

The FTC’s challenge to Meta’s acquisitions of Instagram and WhatsApp provides instructive precedent.⁴⁵ In *FTC v Meta Platforms Inc*, Judge Boasberg allowed the killer acquisition case to proceed to trial despite acknowledging that the FTC’s positions “strain antitrust precedents.”⁴⁶ The court’s willingness to apply nascent-competitor doctrine —

40. *Ibid.*

41. Tech Antitrust Substack, “Reverse Acqui-hires and Antitrust Evasion” (2026), online: *Substack* (<https://substack.com>) [Substack Acqui-hire].

42. Competition Act.

43. Bureau AI Submission.

44. Substack Acqui-hire.

45. *FTC v Meta Platforms Inc*, 2025 D.D.C. 20-3590 (JEB) [*FTC v Meta*].

46. *Ibid.*

holding that acquisitions of firms that have not yet fully emerged as competitors can constitute anti-competitive harm — is directly applicable to AI acqui-hires, where the competitive threat being eliminated is prospective rather than actualised.

3.3 API-Layer Foreclosure Under Section 79

Section 79 of the *Competition Act* provides the Competition Bureau with authority to address abuse of dominance through its three-element test: dominance in a relevant market, anti-competitive acts, and a substantial lessening or prevention of competition.⁴⁷ The *Commissioner of Competition v Canada Pipe Co* decision established the foundational analytical framework: the Federal Court of Appeal clarified that “class or species of business” equates to the relevant product market, “control” equates to market power, and market definition is a prerequisite to the dominance inquiry.⁴⁸

The *Toronto Real Estate Board v Commissioner of Competition* decision demonstrated how this framework applies to data-access restrictions in technology markets.⁴⁹ The Toronto Real Estate Board operated the MLS database but restricted the distribution of certain data fields (“disputed data”) to legacy channels, disadvantaging innovative brokerages that operated virtual office websites (VOWs). The Federal Court of Appeal upheld the Competition Tribunal’s finding that all three elements of section 79 were satisfied: TREB was dominant in the relevant market for residential real estate brokerage services; its data-distribution restrictions constituted anti-competitive acts because they disadvantaged competitors while preserving TREB’s ability to control the market; and the restrictions substantially lessened competition by preventing innovation in how consumers accessed real estate information.⁵⁰

The *TREB* precedent maps directly onto AI-layer foreclosure. When a dominant AI platform restricts API access, limits data sharing, or imposes discriminatory terms on downstream developers, it replicates the TREB pattern: using control of an essential input (the database in *TREB*; training data, APIs, or compute access in AI markets) to foreclose innovative competitors at adjacent layers.

The US *Google* litigation reinforces this analysis. In *United States v Google LLC (AdTech Monopoly)*, the court found Google liable for acquiring and maintaining monopoly power in display publisher ad server and ad exchange markets through vertical integration and self-preferencing.⁵¹ Google tied its DFP ad server to its AdX exchange, creating a multi-

47. Bureau Dominance Guidelines.

48. *Commissioner of Competition v Canada Pipe Co*, 2006 FCA 236 [*Canada Pipe*].

49. *Toronto Real Estate Board v Commissioner of Competition*, 2017 FCA 236 [*TREB*].

50. *Ibid.*

51. *United States v Google LLC (AdTech Monopoly)*, 2025 E.D. Va. 1:23-cv-108 (LMB/JFA) [*US v Google (AdTech)*].

layer lock-in that foreclosed competing ad-tech providers. In *United States v Google LLC (Search Monopoly)*, the court found that Google maintained its search monopoly through exclusive dealing agreements establishing default search engine status on mobile devices and browsers.⁵² Both decisions demonstrate that courts are prepared to analyse vertical foreclosure across technology stack layers and to impose liability where integration is used to exclude competitors.

3.4 Section 74: The Deceptive AI Interface

Beyond structural and collusive harm, AI creates a third category of harm that is immediately actionable under existing law: systematic misleading representation at the consumer interface. Section 74 of the *Competition Act* — the civil misleading-representations provision — is the most immediately deployable instrument in the Competition Act’s toolkit because it requires no proof of actual deception, no requirement of public accessibility for the representation, and applies extra-territorially to representations made to Canadian consumers regardless of the representor’s location.⁵³

Section 74.01(1)(a) prohibits any representation made to the public that is “false or misleading in a material respect.”⁵⁴ The “materiality” standard — information that *could* influence consumer behaviour — is well-suited to AI enforcement. When an AI-powered recommendation engine presents algorithmically optimised product suggestions as “top picks” or “most popular” without disclosing that the recommendations are revenue-optimised rather than preference-matched, the representation is “misleading in a material respect” because disclosure would change consumer behaviour.⁵⁵

Four categories of AI conduct are immediately reachable under section 74. First, “capability washing” — the systematic overstatement of AI system accuracy, reliability, or capability in marketing materials and product interfaces. Second, undisclosed AI recommendations — the presentation of algorithmically generated recommendations as organic consumer preferences without disclosure of the commercial optimisation function. Third, synthetic testimonials — the use of AI-generated reviews, endorsements, or social proof that consumers would understand as genuine human testimony. Fourth, personalised pricing presented as market rates — the use of AI to determine individual pricing while representing those prices as standard or objective.⁵⁶

The Competition Bureau’s own reform submission identified the need for section 74

52. *United States v Google LLC (Search Monopoly)*, 2024 D.D.C. [*US v Google (Search)*].

53. Competition Act.

54. *Ibid* at s 74.01(1)(a).

55. Bureau Future Policy.

56. *Ibid*.

modernisation to address “algorithmic deception” and “dark patterns,” confirming that the Bureau views the misleading-representations regime as applicable to AI-mediated consumer harm.⁵⁷

Critically, the same AI conduct that violates section 74 may *also* constitute an “anti-competitive act” under section 79 when committed by a dominant firm. A dominant AI platform that uses misleading representations to maintain consumer lock-in — by overstating accuracy, concealing limitations, or manufacturing false social proof — is simultaneously violating section 74.01 and committing an anti-competitive act under section 79. This doctrinal bridge — linking the deceptive marketing regime to the abuse of dominance regime — has not been systematically developed in Canadian competition scholarship and represents an original contribution of this thesis.

4 Chapter III — Dissecting the Tech Stack: Vertical Foreclosure and Layered Dominance

AI markets exhibit a distinctive structural characteristic that differentiates them from prior technology markets: competitive foreclosure occurs simultaneously across multiple vertically integrated layers. The Information Technology Industry Council’s framework identifies five integrated layers — infrastructure, data, model development, applications, and governance — where applications “pull on every layer beneath.”⁵⁸ This layered architecture creates a foreclosure mechanism that single-layer competition analysis fails to capture. A firm that dominates one layer can leverage that dominance to foreclose competitors at adjacent layers; a firm that dominates multiple layers can create an integrated moat that no single-point competitive entry can overcome.⁵⁹

4.1 The Compute Layer: GPU Scarcity and CUDA Lock-In

At the foundation of the AI technology stack lies the compute layer — the specialised hardware required for training and deploying large language models. This layer is dominated by a single firm: NVIDIA, which holds approximately 80 per cent of the market for training-grade GPUs and an even larger share of the high-performance AI chip segment.⁶⁰

57. *Ibid.*

58. ITI Technology Stack.

59. Yale Law School, “Essential Facilities in Digital Economy” (2021), online: *Yale Journal of Regulation* (<https://yale.edu>) [Yale Digital EFD].

60. OECD AI Infrastructure.

NVIDIA’s dominance is not merely a function of superior hardware design; it is sustained and deepened by software lock-in through the CUDA programming framework. CUDA is NVIDIA’s proprietary parallel computing platform, and the vast majority of AI frameworks (PyTorch, TensorFlow, JAX) are optimised for CUDA execution. Competing GPU manufacturers — AMD with ROCm, Intel with oneAPI — have been unable to replicate the breadth and depth of CUDA’s ecosystem, creating a switching cost that reinforces NVIDIA’s hardware dominance even if competing chips achieve price-performance parity.⁶¹

Jensen Huang’s articulation of a “five-layer AI industrial system” — energy, chips, infrastructure, models, and applications — is revealing not merely as a business strategy but as a map of foreclosure pathways.⁶² NVIDIA is expanding from the chip layer into networking infrastructure (through the Mellanox acquisition), AI frameworks (through deep CUDA integration), and even model development partnerships. Each expansion consolidates NVIDIA’s ability to foreclose competitors at adjacent layers: competing chip manufacturers cannot attract model developers without CUDA compatibility; competing infrastructure providers cannot offer full-stack solutions without NVIDIA GPUs; downstream application developers face higher costs if they attempt to build on non-NVIDIA infrastructure.⁶³

The OECD’s analysis of AI infrastructure competition confirms that single-layer analysis understates competitive concentration in AI markets.⁶⁴ The vertical integration of chip design, manufacturing, server infrastructure, and data centre operations by a small number of firms — NVIDIA, Google (TPUs), Amazon (Inferentia/Trainium), Microsoft (Maia) — creates an oligopolistic structure at the compute layer that constrains downstream innovation.⁶⁵

4.2 The Data Layer: Moats, Feedback Loops, and Essential Facilities

If compute is the foundation, data is the reinforcing structure. The competitive dynamics of AI training data present a distinctive challenge because data advantages compound over time through network effects and feedback loops.⁶⁶

The essential facilities doctrine (EFD) provides the most promising analytical framework

61. TechRadar, “Nvidia’s Five-Layer AI Industrial System Architecture” (2024), online: *TechRadar* (<https://techradar.com>) [TechRadar Nvidia].

62. *Ibid.*

63. Globe and Mail, “NVIDIA and Meta AI Alliance” (2026), online: *Globe and Mail* (<https://globeandmail.com>) [Globe NVIDIA Meta].

64. OECD AI Infrastructure.

65. *Ibid.*

66. OECD AI Data.

for addressing data concentration under section 79.⁶⁷ In Canada, the EFD is in what Osborne describes as an “expansionist phase” — structurally easier to satisfy under section 79 than in the post-*Trinko* United States, where the Supreme Court substantially narrowed the doctrine’s scope.⁶⁸ Canadian courts have not adopted a *Trinko*-equivalent limitation, and the *TREB* decision confirmed that data-access restrictions can constitute an abuse of dominance when they foreclose competitors from accessing inputs necessary for effective competition.⁶⁹

However, the application of the EFD to AI training data requires a critical distinction between data types.⁷⁰ Static datasets — historical financial records, published research, curated text corpora — are costly to replicate but not “indispensable” in the EFD sense; a determined competitor with sufficient resources can build equivalent datasets. Real-time feedback loop data, however, is categorically different.⁷¹ The reinforcement learning from human feedback (RLHF) data generated by millions of concurrent users engaging with a dominant LLM cannot be retrospectively recreated. This data represents a genuine bottleneck: the dominant AI model produces better outputs, which attracts more users, which generates more training data, which produces even better outputs, which further entrenches dominance.⁷² The cycle is non-replicable *in the present moment* because the historical training signal is path-dependent.

Courts applying section 79 should therefore adopt a tiered approach: static historical data does not satisfy the EFD “indispensability” requirement; real-time feedback loop data from a dominant LLM may satisfy it, particularly where the dominant firm refuses to grant API access, data licensing, or interoperability to downstream competitors.⁷³ The Yale school’s analysis of essential facilities in the digital economy supports this conclusion, establishing that APIs and data access can function as essential facilities justifying mandatory access remedies.⁷⁴

67. W.M.G. Osborne, “Build It and You Must Share It? Essential Facilities in Canada” (2018) *Canadian Bar Association* [Osborne EFD].

68. *Ibid.*

69. *TREB*.

70. K. Yang, “Applying the Essential Facilities Doctrine to Data Monopolies in the AI Era” (2025) *King’s College London* 59 [Yang EFD Data].

71. *Ibid.*

72. OECD AI Data.

73. Yang EFD Data.

74. Yale Digital EFD.

4.3 The Model and Application Layers: Self-Preferencing and Portfolio Dominance

At the model layer, a small number of foundation model providers — OpenAI, Google DeepMind, Anthropic, and Meta — control the large language models upon which downstream applications are built. At the application layer, these same firms (along with Microsoft, Amazon, and Apple) deploy AI-powered services that compete with independent developers who must build on the foundation models controlled by their competitors.⁷⁵

This structural conflict of interest — simultaneously providing infrastructure to competitors and competing with them — creates self-preferencing incentives. The Brookings Institution’s analysis documents how AI companies offer “full-stack solutions” that bundle compute, models, and applications, creating vertical integration that forecloses independent developers from competing on equal terms.⁷⁶ When Google integrates Gemini AI into Search results, it simultaneously provides the platform on which competing AI services must operate and competes with those services for user attention and advertising revenue. When Microsoft integrates Copilot into Office 365, it advantages its own AI application over competing productivity AI tools that must access Microsoft’s APIs on terms Microsoft controls.⁷⁷

The *US v Google (AdTech)* decision provides the most detailed judicial analysis of multi-layer vertical foreclosure in technology markets.⁷⁸ The court found Google liable for tying its DFP publisher ad server to its AdX ad exchange, creating a self-reinforcing loop: publishers who used DFP were effectively compelled to use AdX, and advertisers who wanted access to DFP publishers were compelled to bid through AdX. This multi-layer tying mechanism is structurally identical to the foreclosure pattern in AI markets, where control of foundation models (the “ad server” equivalent) compels downstream developers to use the dominant firm’s API and deployment infrastructure (the “exchange” equivalent).

This chapter proposes that Canadian courts adopt a “portfolio dominance” doctrine under section 79 — a recognition that structural dominance exists when a firm controls sufficient layers of the AI technology stack to substantially foreclose downstream competition, even if no single layer presents a monopoly.⁷⁹ This doctrine has precedent in Canadian merger jurisprudence, where the Merger Enforcement Guidelines’ treatment of “portfolio effects” acknowledges that a firm’s aggregate market power across related markets can exceed

75. Brookings Institution, *Competition Among AI Companies* (Brookings Institution, 2026) [Brookings AI Competition].

76. *Ibid.*

77. *US v Google (AdTech)*.

78. *Ibid.*

79. T.N. Narechania & G. Sitaraman, “An Antimonopoly Approach to Governing Artificial Intelligence” (2024) *Yale Law School* 95 [Narechania Antimonopoly].

the sum of its individual market shares.⁸⁰ The Narechania and Sitaraman analysis at Yale provides the theoretical grounding: AI exhibits “significant concentration across stack layers” that oligopolistic analysis at any single layer understates.⁸¹

The section 79 analysis should shift from asking “Is the firm dominant in this specific market?” to asking “Does the firm’s control across layers substantially foreclose competition in any relevant downstream market?” This is conceptually consistent with section 79’s “substantially lessens or prevents competition” standard; it requires courts to define the relevant geographic and product markets more expansively (cross-layer rather than single-layer) but does not require legislative amendment.

5 Chapter IV — Comparative Sovereignty: Global Models of Intervention

The global regulatory response to AI competitive harms has crystallised into three dominant models, each reflecting distinct institutional priorities, constitutional architectures, and geopolitical strategies.⁸² None is institutionally appropriate for Canada. Instead, Canada should develop a fourth model — a “competition-first” approach — that leverages the amended Competition Act as the primary regulatory instrument while legislative AI governance frameworks mature.

5.1 The European Union: Ex-Ante Risk Classification

The EU Artificial Intelligence Act, adopted as Regulation 2024/1689, establishes the world’s most comprehensive ex-ante regulatory framework for AI systems.⁸³ The Act classifies AI systems into four risk tiers (unacceptable, high, limited, and minimal risk) and imposes graduated compliance obligations: unacceptable-risk systems are prohibited entirely; high-risk systems face mandatory requirements for risk management, data governance, transparency, human oversight, and accuracy; limited-risk systems face disclosure obligations; and minimal-risk systems face no additional requirements.⁸⁴

The EU’s ex-ante approach has genuine advantages: it prevents harms before they materialise, establishes clear and predictable compliance frameworks for industry, and creates

80. Competition Act.

81. Narechania Antimonopoly.

82. mindfoundry Global AI Regs.

83. Artificial Intelligence Act.

84. Future of Life Institute, *High-Level Summary of the AI Act* (Future of Life Institute, 2024) [FLI AI Act Summary].

a centralised administrative infrastructure with technical expertise.⁸⁵ However, the model carries significant costs. Compliance obligations — particularly the mandatory conformity assessments, technical documentation, and risk-management systems required for high-risk AI — create entry barriers that favour established firms with legal and compliance resources over startups and smaller innovators.⁸⁶ Moreover, the risk-classification system itself is inherently backward-looking: it categorises AI risks based on current understanding, but AI capabilities evolve faster than regulatory amendments can respond. The EU must periodically update its risk classifications through a legislative process that is slower than the pace of AI development.

For Canada, the EU model is institutionally inappropriate for a further reason: Canada lacks the bureaucratic infrastructure to implement a comprehensive ex-ante AI classification system. The EU has the European AI Office, national market surveillance authorities, and a network of notified bodies to administer its regulatory framework. Canada has no equivalent institutional architecture, and building one would require years of legislative and administrative development — precisely the time that the AIDA vacuum makes most urgent.⁸⁷

5.2 The United States: Innovation-First Ex-Post Enforcement

The US model relies primarily on existing antitrust law — the Sherman Act, the Clayton Act, and FTC Act Section 5 — to address AI-specific competitive harms through ex-post enforcement.⁸⁸ The Biden administration pursued aggressive antitrust enforcement against major technology firms, resulting in landmark liability findings in the Google search and ad-tech cases.⁸⁹

The US model’s advantage is flexibility: antitrust law adapts to new technologies through judicial interpretation without requiring legislative forecasts about which risks will materialise. The Google litigation demonstrates this adaptability: the Department of Justice successfully argued that exclusive dealing agreements, vertical tying, and self-preferencing constituted illegal monopoly maintenance under Section 2 of the Sherman Act — doctrines developed decades before AI existed, applied to conduct that is distinctively digital.⁹⁰

However, the US model suffers from a critical structural weakness: the timeline mismatch between litigation and market dynamics.⁹¹ The Google search monopoly case was filed

85. Artificial Intelligence Act.

86. FLI AI Act Summary.

87. UofT Post-AIDA.

88. Technology Policy Press, “US Antitrust Enforcement Outlook” (2026), online: *Technology Policy Press* (<https://techpolicypress.org>) [TechPolicy Enforcement].

89. *US v Google (Search)*.

90. *Ibid.*

91. Crane.

in 2020 and produced a liability finding in 2024 — four years of litigation during which Google’s market position continued to strengthen. The proposed remedies — behavioural restrictions on Google’s contracts with device manufacturers and search default settings — do not fundamentally alter Google’s data moat, model training advantage, or integrated ecosystem lock-in.⁹² For AI markets, where algorithmic lock-in can calcify market positions in months rather than years, this timeline mismatch is especially dangerous.

The FTC’s expanded Section 5 (“unfair methods of competition”) authority provides a potentially faster enforcement pathway, but its scope remains contested and politically vulnerable.⁹³ The American Action Forum’s analysis notes that FTC authority extends to AI markets but that ex-post enforcement faces inherent challenges in rapidly changing markets where network effects and data advantages create barriers that compound faster than enforcement can respond.⁹⁴

5.3 China: Strategic Asymmetry and the National Champions Model

China’s regulatory approach to AI is structurally distinct from both the EU and US models. Rather than applying neutral competitive principles, China implements an asymmetric enforcement framework that protects domestic AI champions (Alibaba, Baidu, Tencent, ByteDance) while subjecting foreign AI firms to stringent regulatory requirements.⁹⁵

The Peking University analysis documents this asymmetry: domestic firms operate under one enforcement standard, with regulatory interventions focused on maintaining party-state control over AI outputs and ensuring alignment with industrial policy objectives; foreign firms operate under a substantially more restrictive standard, with barriers to market entry, data localisation requirements, and content restrictions that effectively exclude major Western AI firms from the Chinese market.⁹⁶

China’s model is structurally incompatible with Canada’s constitutional commitment to equality before the law, regulatory consistency, and competitive neutrality.⁹⁷ The 2024 amendments to the Competition Act represent an express rejection of the national champions logic: by repealing the efficiency defense and expanding abuse-of-dominance provisions, Par-

92. *US v Google (Search)*.

93. American Action Forum, *FTC Enforcement and AI Regulation* (American Action Forum, 2026) [AAF FTC Enforcement].

94. *Ibid.*

95. Peking University Faculty, “China Anti-Monopoly AI Regulation: National Champions Model” (2026), online: *Peking University School of Law* (<https://pku.edu.cn>) [Peking China AI].

96. *Ibid.*

97. Competition Act.

liament signalled that Canadian competition law will not tolerate competitive harm justified by industrial policy objectives. Canada’s technology sector is a blend of domestic innovation and multinational subsidiary operations; nationalist protectionism is strategically incoherent for an economy that depends on foreign investment and global supply chains.⁹⁸

5.4 Canada’s Fourth Way: Competition-First Governance

Canada’s comparative institutional advantage lies precisely at the intersection of the other models’ weaknesses: where the EU is rigid, Canada is flexible; where the US is slow, Canada’s expanded interim-relief powers offer speed; where China is asymmetric, Canada is neutral.⁹⁹

The competition-first approach does not claim that competition law is sufficient for *all* AI governance — it manifestly is not.¹⁰⁰ AI harms that are not competitive in nature (harmful content, algorithmic bias, surveillance, autonomous weapons) require purpose-built legislation that competition law cannot and should not provide. The claim is narrower but more defensible: competition law is sufficient for *competitive harm* governance, which is the most urgent category of AI harm in the post-AIDA vacuum because it determines the structural conditions under which all other AI governance will operate.¹⁰¹

Moreover, competition law can be deployed immediately. The Bureau can start investigating algorithmic collusion, acqui-hires, and vertical foreclosure today, using the expanded authority provided by the 2024 amendments.¹⁰² Legislative AI governance will take years: the political economy of technology regulation is complex, stakeholder positions are polarised, and constitutional jurisdiction over AI is uncertain. The pneumatic buffer concept captures this temporal advantage: competition law as a load-bearing instrument while Parliament deliberates.

Canada’s doctrinal clarity and enforcement consistency — no national champions exception, no geopolitical favouritism — create a distinctive global positioning.¹⁰³ If Canada successfully uses competition law to address AI-specific competitive harms while other jurisdictions struggle with regulatory bureaucracy (EU), remedy inadequacy (US), or strategic asymmetry (China), Canada’s approach may become internationally influential as a model of principled, neutral competition enforcement in AI markets.

98. Bureau Future Policy.

99. *Ibid.*

100. UofT Post-AIDA.

101. Canada OECD Submission.

102. Bureau AI Submission.

103. Competition Act.

6 Chapter V — Synthesis: Competition Law as the Pneumatic Buffer

The preceding chapters have established that Canadian competition law possesses the doctrinal authority (Chapter I), the analytical tools (Chapter II), the structural framework for technology-market analysis (Chapter III), and the comparative strategic justification (Chapter IV) to function as the primary regulatory instrument for AI competitive harms during the post-AIDA vacuum. This chapter integrates these strands into a unified theoretical account of competition law as the “pneumatic buffer” — a metaphor that captures both the functional mechanism and the temporal dimension of competition law’s role in AI governance.

6.1 The Pneumatic Buffer Metaphor

A pneumatic buffer is a mechanical device that absorbs and distributes force progressively, preventing sudden failure while the underlying system adjusts to stress.¹⁰⁴ Competition law functions analogously in AI markets: it creates distributed upward pressure on competitive conduct norms without imposing rigid ex-ante rules. When the Competition Bureau threatens investigation for algorithmic collusion, firms must internally review their AI systems’ design; when the Bureau signals that acqui-hires are reviewable, firms must adjust M&A structures; when courts begin recognising data moats as essential facilities, firms must consider API licensing and interoperability. These pressures accumulate not as singular litigation victories but as distributed adjustments across the entire industry’s strategic calculations.¹⁰⁵

The buffer metaphor also captures the temporal function: competition law buys time. If the Competition Bureau aggressively investigates and litigates acqui-hire cases using section 92 creatively, this arrests the consolidation velocity that would otherwise make the AI market irreversibly concentrated by the time Parliament acts.¹⁰⁶ If courts recognise algorithmic hub-and-spoke collusion using section 45, this prevents a decade of parallel pricing that would solidify pricing norms and foreclose entry.¹⁰⁷ The time-buying function is not incidental; it is essential to the thesis. Competition law need not *solve* the AI competitive problem; it need only *stabilise* the competitive landscape long enough for legislative and regulatory solutions to develop.

104. Narechania Antimonopoly.

105. Bureau Future Policy.

106. Bureau AI Submission.

107. Lancieri Regulatory Capture.

6.2 Confronting the Crane Thesis: Are Antitrust’s Pillars Buckling?

Before addressing the speed and remedy-adequacy critiques, the thesis must confront the most fundamental challenge to its central claim: Daniel Crane’s argument that AI will not merely strain antitrust enforcement but will retire the entire “economic order based on mandated competition.”¹⁰⁸ In his influential 2024 article in the *New York University Law Review*, Crane identifies four “pillars” upon which antitrust law is predicated, each of which, he argues, will “likely buckle in the coming wave”:

First, Crane argues that competitive markets have traditionally been justified as the best mechanism for producing information about consumer preferences and producer efficiency through price signals. AI systems, however, will “vastly improve firms’ ability to detect consumer preferences and comparative producer efficiency without price signals,” rendering the informational justification for competition obsolete.¹⁰⁹ Second, competitive markets create incentive structures for welfare maximisation; but AI systems can optimise production and distribution without relying on competitive pressure as a motivational mechanism.¹¹⁰ Third, antitrust assumes that extreme consolidation is not inevitable; but AI’s near-infinite scalability and network effects may make consolidated markets structurally unavoidable.¹¹¹ Fourth, antitrust assumes that legal prohibitions can meaningfully police anti-competitive conduct; but AI enables collusion and exclusion that “circumvent traditional . . . prohibitions” because an AI’s “intentions” — its programmed objective functions — are easily discernible while “its actions or processing steps are a black box.”¹¹²

Crane’s analysis is formidable and cannot be dismissed. But it proves less than it claims, for three reasons.

First, Crane’s argument operates at a level of technological abstraction that elides the institutional specificity of different competition law regimes. His critique targets antitrust *in general*, but the vulnerabilities he identifies are most acute in the American Sherman Act framework, which depends heavily on intent-based liability standards and structural presumptions about the efficiency of competitive markets. The Canadian *Competition Act*, by contrast, employs an *effects-based* framework under section 79 that asks whether conduct “substantially lessens or prevents competition” — a standard that does not depend on whether markets produce optimal information through price signals or whether consolidation

108. Crane at p 1187.

109. *Ibid* at pp 1192–1198.

110. *Ibid* at pp 1198–1203.

111. *Ibid* at pp 1203–1210.

112. *Ibid* at pp 1210–1218.

is structurally inevitable.¹¹³ Even if Crane is correct that AI will undermine the informational and incentive justifications for competition, section 79’s effects-based standard remains operational: if a firm’s conduct forecloses downstream competition, the Bureau can intervene regardless of whether the foreclosure is “inevitable” in some structural sense.¹¹⁴

Second, Crane’s prediction that antitrust’s enforcement capacity will buckle under algorithmic opacity conflates two distinct problems: the detection problem (identifying anti-competitive conduct when it is algorithmically mediated) and the characterisation problem (fitting detected conduct into existing doctrinal categories). The detection problem is real and serious, but it is an evidentiary challenge, not a doctrinal one — it can be addressed through enhanced investigative tools, technical expertise within the Bureau, and burden-shifting rules that require dominant firms to disclose their algorithms’ decision-making logic.¹¹⁵ The characterisation problem is precisely what Chapters II and III of this thesis address: the hub-and-spoke framework for algorithmic collusion, the portfolio dominance doctrine for layered foreclosure, and the section 74–79 bridge for deceptive AI interfaces are all doctrinal innovations that fit AI-specific conduct into existing statutory categories without requiring the kind of revolutionary overhaul Crane envisions.¹¹⁶

Third, and most fundamentally, Crane’s conclusion — that “some form of regulation will probably replace antitrust” and that the regulatory future involves “direct AI objective specification” — presupposes that a regulatory alternative will materialise.¹¹⁷ But the AIDA vacuum demonstrates precisely the opposite: comprehensive AI regulation has *failed* to materialise in Canada, and there is no realistic prospect of its arrival in the near term.¹¹⁸ Crane’s argument is ultimately a counsel of despair: it tells us that antitrust cannot solve the AI problem but offers no actionable alternative for jurisdictions — like Canada — where the regulatory future remains undefined. The pneumatic buffer thesis responds to this despair with pragmatism: competition law need not be theoretically optimal to be practically essential. If antitrust’s pillars are indeed buckling, the appropriate response is not to abandon the building but to install temporary supports — precisely the function that the Competition Act can serve.

113. Bureau Dominance Guidelines.

114. *Canada Pipe*.

115. Competition Bureau of Canada, *Economic Analysis and Evidence in Abuse Cases: OECD Submission* (Competition Bureau, 2022) [Bureau OECD Submission].

116. Bureau AI Submission.

117. Crane at p 1220.

118. UofT Post-AIDA.

6.3 Answering the Speed Critique

Crane’s analysis raises the speed problem in its sharpest form: if AI markets tend toward concentration at a velocity that outpaces competition enforcement, what use is a pneumatic buffer that arrives too late?¹¹⁹

This critique contains truth but misunderstands the function. The speed critique assumes that competition enforcement must *resolve* competitive harms to be effective. But the pneumatic buffer model does not require complete resolution; it requires only stabilisation — arresting the velocity of consolidation long enough for legislative solutions to develop. Two mechanisms achieve this stabilisation even within the timeline constraints of competition litigation.

First, the amended Competition Act includes interim-relief powers under section 103.1 that the Bureau can deploy more rapidly than full litigation.¹²⁰ The *Air Canada v Commissioner of Competition* decision established the precedent for temporary restraining orders in competition cases, demonstrating that Canadian courts are prepared to impose rapid interim measures when competitive harm is imminent.¹²¹ In *Air Canada*, the Commissioner obtained a section 104.1 temporary order against Air Canada’s predatory pricing practices targeting CanJet — the first order of its kind.¹²² The order was obtained within weeks rather than years, providing immediate relief while the substantive litigation proceeded. The same rapid-response mechanism is available for AI-specific harms: the Bureau can seek interim orders freezing acquisitions, requiring continued API access, or prohibiting discriminatory data-sharing practices while the full section 79 or section 92 proceeding unfolds.

Second, the speed critique underestimates the deterrent effect of credible enforcement threats. Competition enforcement operates not only through ex-post adjudication but through ex-ante deterrence: when the Bureau signals credible enforcement intentions, rational firms adjust their conduct prospectively to avoid investigation and litigation.¹²³ The Bureau’s 2025 submission on AI, which explicitly identified algorithmic pricing, vertical foreclosure, and killer acquisitions as enforcement priorities, is itself a deterrence signal.¹²⁴ Firms that read the Bureau’s submission — and their legal advisors certainly will — must now factor enforcement risk into their strategic calculations regarding algorithmic pricing deployment, acqui-hire transactions, and API-access restrictions.

119. Crane.

120. Competition Act.

121. *Air Canada v Commissioner of Competition*, 2002 FCA 121 [*Air Canada*].

122. *Ibid.*

123. Bureau Dominance Guidelines.

124. Bureau AI Submission.

6.4 Answering the Remedy-Adequacy Critique

The second major objection is remedy inadequacy: behavioural remedies (conduct injunctions, mandatory interoperability) are often violated or circumvented, while structural remedies (divestitures) take years to implement and may reduce innovation incentives.¹²⁵

The US experience validates this concern. The Google search monopoly litigation produced a liability finding but no structural remedy: Google was not required to divest its data assets, separate its search and advertising businesses, or open its APIs to competitors.¹²⁶ Similarly, even if the FTC prevails in its trial against Meta, structural divestiture of Instagram and WhatsApp may be practically impossible given a decade of product integration.¹²⁷

However, the remedy-adequacy critique points to a solution within the Competition Act’s framework: *preventive* merger review under section 92, rather than *reactive* abuse-of-dominance enforcement under section 79. The most effective remedy is to prevent the consolidation from occurring in the first place. If the Competition Bureau uses its expanded merger review authority to block proposed vertical integrations in AI markets — acquisitions that would consolidate dominance at multiple layers of the technology stack — it avoids the problem of post-facto divestiture entirely.¹²⁸

The *Tervita* decision supports this preventive approach. The Supreme Court recognised that “substantial prevention of competition” is a forward-looking standard: the Bureau need not demonstrate that competitive harm has already materialised but only that the merger would likely prevent competition that would otherwise have emerged.¹²⁹ For AI markets, this forward-looking standard is ideal: the Bureau can challenge acquisitions based on their likely effect on nascent competition — the competitors that would have emerged but for the consolidation — without waiting for market tipping to occur.

6.5 Proposed Doctrinal Innovations

Drawing on the analysis of Chapters I through IV, this thesis proposes five specific doctrinal innovations for the Competition Bureau and courts:

First, *algorithmic hub-and-spoke liability*: the Bureau should bring section 45 cases against AI pricing intermediaries that coordinate pricing across competing firms, locating the “agreement” in the deployment decision rather than in inter-firm communication.¹³⁰

125. Crane.

126. *US v Google (Search)*.

127. *FTC v Meta*.

128. *Tervita*.

129. *Ibid* at para 42.

130. Lancieri Regulatory Capture.

Second, *portfolio dominance*: courts should recognise structural dominance under section 79 when a firm controls sufficient layers of the AI technology stack to substantially foreclose downstream competition, even if no single layer presents a monopoly.¹³¹

Third, *tiered essential-facilities analysis for data*: courts should distinguish between static historical data (which does not satisfy the EFD “indispensability” requirement) and real-time feedback loop data from a dominant LLM (which may satisfy it), enabling refusal-to-deal claims under section 79 where the dominant firm restricts API access or data licensing.¹³²

Fourth, *the section 74–79 bridge*: the Bureau should develop formal guidance establishing that AI conduct violating section 74 (misleading representations) can simultaneously constitute an “anti-competitive act” under section 79 when committed by a dominant firm, linking the deceptive marketing regime to the abuse of dominance regime.¹³³

Fifth, *aggressive preventive merger review*: the Bureau should prioritise section 92 merger review as a preventive tool in AI markets, using the “substantial prevention of competition” standard and the new value-of-transaction thresholds to challenge acquisitions, acqui-hires, and non-equity partnerships that would consolidate cross-layer dominance.¹³⁴

6.6 The Pneumatic Buffer in Operation

The thesis’s contribution is ultimately one of reframing. The conventional framing asks: “What can competition law do *despite its limitations*?” This framing assumes that competition law is an imperfect substitute for purpose-built AI regulation — a second-best instrument pressed into service by legislative failure. The pneumatic buffer thesis inverts the question: “What is competition law *designed to do*, and why is that precisely what AI markets need right now?”

Competition law is designed to be flexible, adaptive, and responsive to new forms of competitive harm. It is designed to evolve through judicial interpretation rather than legislative prescription. It is designed to create upward pressure on competitive conduct norms through the credible threat of enforcement. It is designed to prevent market calcification through structural intervention. These are not limitations; they are features — and they are precisely the features that AI markets require during the legislative interregnum.¹³⁵

The amended Competition Act — stripped of the efficiency defense, equipped with expanded merger review thresholds, and strengthened through simplified abuse-of-dominance

131. Narechania Antimonopoly.

132. Yang EFD Data.

133. Bureau Future Policy.

134. *Tervita*.

135. Narechania Antimonopoly.

provisions — is not a weak alternative to “real” AI regulation. It is a purpose-built, institutionally appropriate, immediately deployable regulatory instrument that can stabilise AI competitive dynamics while Parliament deliberates, democratic processes develop, and purpose-built AI governance frameworks mature.¹³⁶

7 Conclusion

The Synthetic Leviathan — the vast, vertically integrated AI ecosystem that threatens to concentrate economic power in a small number of firms controlling the compute, data, model, and application layers of the technology stack — cannot be governed by legislative frameworks that do not yet exist. Canada’s competition law, as substantially reformed in 2022–2024, offers the most credible, immediately deployable, and institutionally appropriate response to this challenge.

This thesis has demonstrated that the Competition Act’s existing toolkit is sufficient to address the primary categories of AI-specific competitive harm: algorithmic hub-and-spoke collusion through section 45; reverse acqui-hires and killer acquisitions through expanded section 92 merger review; vertical foreclosure and layered dominance through section 79 abuse of dominance; and deceptive AI interfaces through section 74 misleading representations. These provisions require creative doctrinal interpretation but not legislative amendment — a critical distinction in a regulatory environment where the political economy of AI legislation makes rapid statutory reform unlikely.¹³⁷

The pneumatic buffer thesis does not claim that competition law is sufficient for all AI governance. It claims something more precise: that competition law is structurally optimal for governing competitive harms in AI markets during the legislative interregnum, and that the Competition Bureau’s immediate, aggressive deployment of the amended Competition Act is essential to prevent the market calcification that would make eventual legislative intervention ineffective.¹³⁸

Canada’s distinctive institutional advantages — doctrinal clarity, enforcement consistency, constitutional commitment to competitive neutrality, and the flexibility of adjudicated standards — position it to lead globally in principled, neutral competition enforcement in AI markets.¹³⁹ If successful, the Canadian approach may become a model for other jurisdictions that share Canada’s institutional characteristics but lack its doctrinal foundation: smaller economies, committed to the rule of law, seeking to govern AI markets without either the

136. Competition Act.

137. Bureau AI Submission.

138. Canada OECD Submission.

139. Bureau Future Policy.

bureaucratic apparatus of the EU's ex-ante framework or the geopolitical ambitions that shape US and Chinese enforcement.

The Synthetic Leviathan is already being assembled, layer by layer, acquisition by acquisition, data moat by data moat. The question is not whether Canada will govern it, but whether Canada will govern it in time. The Competition Act, properly wielded, provides the answer.

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